Objection to the Draft Capital Flow Management Regulations 2026

Request for Withdrawal or Recognition of Bitcoin as a Sui Generis Adjacent Currency

Johannesburg, South Africa • 30 June 2026

Submitted to: National Treasury | Commentdraftlegislation@treasury.gov.za | CommentDraftRegulations@treasury.gov.za

Dear National Treasury,

I submit this formal objection to the Draft Capital Flow Management Regulations 2026. I request the complete withdrawal of the draft. In the alternative, I request the insertion of explicit protective language recognising Bitcoin as a *sui generis* bearer asset and adjacent currency, with full constitutional protection extended to both natural and juristic persons.

Key Grounds for Objection

1. Bitcoin as Decentralised Community Software – The Right to Sovereign Private Compute

Bitcoin is open-source software operated on nodes in private homes and by individuals globally. It forms part of a decentralised community initiative. The **Right to Sovereign Private Compute** — the right to run open-source code on personal devices without interference — is a fundamental extension of the right to privacy, freedom of expression, and property.

This right is particularly engaged where individuals choose to operate full Bitcoin nodes or related open-source infrastructure on their own hardware. Sweeping digital identity systems being rolled out globally create real risks of compelled linkage between identity and financial activity. Bitcoin, as open-source code, must be treated with the same protections afforded to other forms of open-source software and private computation on personal devices.

2. Bitcoin's Sui Generis Nature

Bitcoin has no issuer, no central control point, and no promoter. Its supply is fixed at 21 million units through energy-secured proof-of-work consensus. Control can reside entirely in the mind via memorised seed phrases or through decentralised cryptographic structures such as multisignature and threshold schemes.

Bitcoin is not comparable to other crypto assets or to traditional forms of capital or currency precisely because it is not issued or controlled by any state or private entity. Its fixed supply, decentralised verification, and energy-secured consensus mechanism create a qualitatively different category of asset. Treating it as interchangeable with issued or permissioned digital assets creates fundamental legal and practical contradictions.

3. Bitcoin as Adjacent Currency – Tax-Free Treatment on Holding

Bitcoin functions as an adjacent currency to state-issued money. It is already capable of being governed under existing frameworks applicable to fiduciaries when they hold or manage assets on behalf of others.

The most coherent treatment is to recognise Bitcoin as a *sui generis* adjacent currency entitled to local currency privileges, including tax-free treatment on mere holding. This means that the simple act of acquiring, holding, or self-custody transferring Bitcoin should not trigger a taxable event or capital gains calculation. Other crypto assets may be accommodated through adapted rules within existing banking and financial services frameworks, but Bitcoin's unique characteristics justify distinct recognition.

4. Digital ID Laws, Privacy on Devices and Property, and Constitutional Protections

Globally, digital identity systems are expanding rapidly. These systems carry the risk of linking personal identity to financial activity in ways that erode privacy. The right to privacy on personal devices and property — including the right to run private, sovereign compute — must be explicitly protected. Regulations that create pathways for compelled disclosure or surveillance of private Bitcoin activity violate these fundamental rights.

The draft further engages multiple provisions of the Constitution of the Republic of South Africa, 1996: **Section 25** (property), **Section 14** (privacy), **Section 35** (fair trial and self-incrimination), and **Section 21** (freedom of movement). Broad discretionary powers conferred on National Treasury and the South African Reserve Bank bypass the judiciary and undermine the rule of law.

5. Bitcoin's Unique Energy Infrastructure Development Capabilities

Bitcoin's proof-of-work mechanism creates demand for energy infrastructure development in a manner that does not exist in any other crypto environment. This capability enables the monetisation of stranded, curtailed, or under-utilised energy resources and supports the development of new generation and transmission capacity. These characteristics extend Bitcoin's *sui generis* status and raise important considerations for national energy security and energy proliferation policy.

6. Self-Custody as the Highest Standard of Bitcoin Fiduciary Responsibility

The highest and most consistent expression of Bitcoin fiduciary responsibility — whether exercised by natural persons or juristic persons — is self-custody or decentralised multi-party control. In many instances, natural persons acting together within a juristic person can safeguard assets more effectively and in accordance with best practice than delegation to third-party custodians. This is because Bitcoin's threat model centres on private key control and resistance to single points of failure or compelled disclosure. Self-custody or properly structured decentralised control aligns with that model and should be recognised as the highest fiduciary standard rather than a regulatory risk.

7. Conflicting High Court Authority, the Sui Generis Nature of Bitcoin as Bearer Software, and the Correct Restrictive Approach in Standard Bank

The *Mangundhla and Another v South African Reserve Bank and Others* [2026] ZAGPJHC 579 (1 June 2026) (Wilson J) judgment classified Bitcoin as both "money" and "capital" under section 10(1)(c) of the Exchange Control Regulations, 1961 in the specific context of cross-border transfers to offshore wallets. That decision expressly departed from and described as "clearly wrong" the earlier judgment of this Division in *Standard Bank of South Africa v South African Reserve Bank* [2025] ZAGPPHC 481; 2025 (5) SA 289 (GP) (15 May 2025) (Motha J).

In *Standard Bank*, the Court correctly held that cryptocurrency does not constitute "money" or "capital" within the meaning of the existing 1961 Regulations. Those regulations were designed for a fiat system of state-issued currency and capital movements. *Mangundhla* erred in forcing Bitcoin into these categories. Bitcoin exists first and foremost as decentralised bearer software — open-source protocol code that is verifiable by any participant, controlled exclusively through cryptographic private keys (or seed phrases) by its holder, and functioning as a self-sovereign bearer asset. It is not "currency" because it is not issued, guaranteed, backed, or controlled by any government or central bank.

The *Standard Bank* restrictive interpretation respects the text, context, and purpose of the old Regulations and avoids the constitutional difficulties of extending punitive 1961 provisions — enacted long before decentralised cryptographic networks existed — to novel bearer software. That decision remains good law and carries significant persuasive authority within the Division. It has not been overturned by the Supreme Court of Appeal.

Pending authoritative resolution by the SCA, or — preferably — clear legislative recognition by National Treasury of Bitcoin's *sui generis* character as decentralised bearer software and adjacent currency, the Draft Capital Flow Management Regulations should not entrench the *Mangundhla* classification. They should instead expressly protect Bitcoin controlled through cryptographic means, self-custodied Bitcoin, and Bitcoin operated on decentralised nodes, consistent with the constitutional rights to property (section 25), privacy (section 14), and freedom of trade (section 22).

8. Tax Framework – Protections, Moratoriums and Grace Periods

Where regulations are conflicting, unclear, or in transition, adequate protections must be put in place. This includes temporary amnesty on tax returns for Bitcoin-related activity during periods of regulatory uncertainty, reasonable extensions and grace periods for compliance where rules are unclear or have recently changed, and clear safe harbours for individuals and entities acting in good faith while awaiting regulatory clarity. These measures are necessary to prevent unjust outcomes while the legal framework catches up with technological reality.

Proposed Way Forward

I call for the complete withdrawal of the Draft Capital Flow Management Regulations 2026. Failing withdrawal, the most logically sound approach is the explicit recognition of Bitcoin as a *sui generis* adjacent currency, together with the subsequent dismantling of inconsistent tax and banking enforcement measures.

In the alternative, I recommend the following protective language be inserted into the final regulations:

> *"Bitcoin controlled through cryptographic means — including Bitcoin operated on nodes in private homes as part of the global decentralised network, self-custodied Bitcoin, and Bitcoin held in decentralised or multi-party control structures (whether by natural persons or juristic persons) — shall be recognised as a sui generis bearer asset and adjacent currency. The mere holding, cross-border movement, node operation, or control of such Bitcoin shall not constitute a taxable event or trigger capital control restrictions. Taxation and regulatory measures shall apply only to realised gains arising from voluntary economic activity with a sufficient territorial nexus to the Republic of South Africa. Adequate protections, including temporary amnesty and grace periods, shall apply where regulations are unclear or in transition."*

Conclusion

The Draft Capital Flow Management Regulations 2026 represent an unjustified expansion of regulatory power that threatens constitutional rights, self-custody, and the Right to Sovereign Private Compute. Bitcoin is most logically treated as a *sui generis* adjacent currency. I urge National Treasury to withdraw the draft in full or adopt the protective language set out above.

Sincerely,

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